

nies, Wipro reported the most disappointing results. The company's revenue stood at ₹22,515 crore, down 1.3 per cent sequentially. This was the third consecutive quarter where revenue declined. Talking about the results, CEO Thierry Delaporte noted, "We are not growing, that is a reality. What's key for us is to make the right investments and decisions now to make sure that when the market picks up again, we are ready."

This disappointing performance, though, came against the backdrop of a strong order book in Q2 for all

ance by 100 basis points for FY24. The company now expects revenue to grow between 1 per cent and 2.5 per cent, down from 1 per cent and 3.5 per cent earlier. "We are seeing the discretionary programmes have reduced significantly, and we are seeing decision-making is slow. Keeping that in mind, we have cut back on the guidance," Infosys CEO Salil Parekh said at a post-earnings press conference.

HCLTech's management brought down its sequential revenue growth guidance to 4-5 per cent from 6-8

TCV, underlying business volumes were still extremely weak. "Despite reporting revenue growth, volume growth was fairly muted," the report noted.

One area where the four IT majors were united was the dip in headcount. TCS saw its net employee count dip for the first time in over two years by 6,333. Meanwhile, Infosys's headcount dipped by 7,530 sequentially, and the IT major said it would not actively participate in campus hiring drives this fiscal year.

Wipro's headcount dipped by 5,051, for the fourth consecutive quarter, with CHRO Saurabh Govil stating that the company would not visit campuses for hiring until it honours all pending offer letters. HCLTech's headcount dipped by 2,299, and CEO C. Vijayakumar said at a briefing that the firm did not backfill attrition "as a lot of freshers we hired in the last 18 months are now ready to be deployed".

Although headcount at the IT majors witnessed a significant drop, the companies focussed more on upskilling employees in generative AI. TCS trained over 100,000 employees in generative AI during Q2, while Wipro trained over 180,000 employees. In the short term, the IT companies announced share buybacks and dividends to placate investors. TCS announced a buyback programme worth ₹17,000 crore. The company also announced a second interim dividend of ₹9 per share. Infosys announced an interim dividend of ₹18, and HCLTech announced an interim dividend of ₹12.

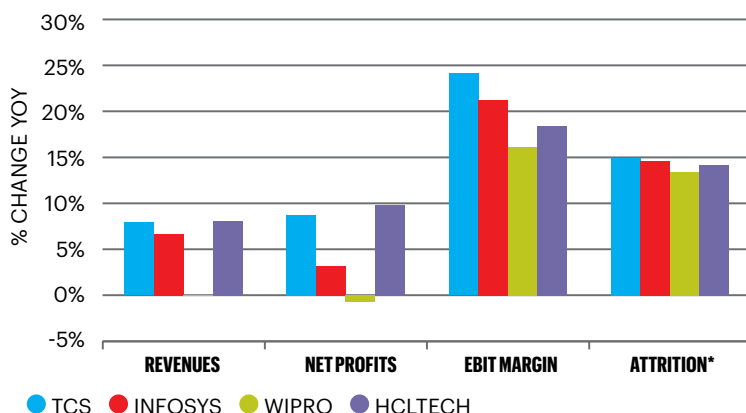
But the interim dividends and the share buybacks aside, the impact of large deal wins is likely to show up in the next fiscal, unless there are big rampdowns. For now, the Indian IT sector looks to be correcting course, especially in light of the uncertainty thrown up by the potential impact of an escalation of the conflict between Israel and Hamas. **BT**

@aakancvedi

RESULTS ROUND-UP

IT COMPANIES ARE LOOKING TO BRING MARGINS CLOSER TO PRE-COVID-19 LEVELS

ATTRITION MODERATED ACROSS THE LARGE-CAP IT COMPANIES



FIGURES ARE FOR Q2FY24; *OVER 12-MONTH PERIOD

SOURCE: COMPANY REPORTS

the majors. It was particularly good for Infosys, as it recorded a TCV of \$7.7 billion, its highest ever large-and mega deal wins. HCLTech, too, reported all-time high net new bookings at \$3.96 billion. For TCS, it stood at \$11.2 billion, and Wipro's TCV was \$3.78 billion.

And yet, the IT majors cut growth guidance for the upcoming quarters. Infosys trimmed its guid-

per cent earlier. Wipro has lowered its sequential guidance to -3.5 to -1.5 per cent from -2 to 1 per cent last quarter.

Another interesting trend at Wipro was the reduction in the company's customer base. Client additions dropped sequentially, from 65 in Q1 to 49 in Q2.

In a report, Kotak Institutional Equities said that despite record